ARM CEMENT LTD

(formerly Athi River Mining)

Kenya • Tanzania • South Africa • Rwanda

AUDITED GROUP RESULTS FOR THE YEAR ENDED DECEMBER 31, 2012

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED	31.12.2012 Ksh.'000	31.12.2011 Ksh.'000	% INCREASE /DECREASE
Revenue	**11,400,569**	**8,180,992**	**39%**
Profit Before Tax	**1,790,296**	**1,362,912**	**31%**
Taxation	(544,658)	(212,414)	**156%**
Profit for the year	**1,245,638**	**1,150,498**	**8%**
Other Comprehensive income:			
Exchange difference arising on translation of foreign operations	(29,534)	76,184	
Total other comprehensive income for the year	**(29,534)**	**76,184**	
Total comprehensive income for the year	**1,216,104**	**1,226,682**	
Earnings Per Share (Ksh.)	2.51	2.32	
Proposed Dividend Per Share (Ksh.)	**0.50**	**0.40**	**25%**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT		31.12.2012 Ksh.'000	31.12.2011 Ksh.'000
Share Capital		495,275	495,275
Share Premium		302,027	302,027
Capital and Other Reserves		6,216,469	5,201,355
Equity attributable to equity holders of parent Company		**7,013,771**	**5,998,657**
Non - Controlling interest		106,749	103,869
Total Capital and reserves		**7,120,520**	**6,102,526**
Non Current Liabilities		13,329,740	9,993,361
		20,450,260	**16,095,887**
Assets			
Non Current Assets		**19,016,690**	**16,792,719**
Working Capital:			
Current Assets		7,936,410	3,756,304
Current Liabilities		6,502,840	4,453,136
Net Working Capital		**1,433,570**	**(696,832)**
		20,450,260	**16,095,887**

CONDENSED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED		31.12.2012 Ksh.'000	31.12.2011 Ksh.'000
Cash Generated before working capital changes		2,668,186	2,172,049
Working capital changes		(1,374,728)	385,264
Cash Generated from operations		1,293,458	2,557,313
Net Interest		(793,516)	(444,871)
Dividends		(198,110)	(173,346)
Tax Paid		(85,311)	(73,858)
Net Cash from Operating Activities		**216,521**	**1,865,238**
Net Cash used in Investing Activities		(2,769,351)	(4,093,194)
Net Cash from Financing Activities		4,526,349	958,364
Increase/(Decrease) in Cash and Cash Equivalents		**1,973,519**	**(1,269,592)**
At start of the Period		(1,204,038)	134,788
Exchange Adjustment		746	(69,234)
At end of the Period		**770,227**	**(1,204,038)**

CONDENSED STATEMENT OF CHANGES IN EQUITY AS AT DECEMBER 31, 2012		31.12.2012 Ksh.'000	31.12.2011 Ksh.'000
Share Capital/Premium		797,302	797,302
Revaluation reserve		1,324,680	1,398,911
Fair value and translation reserves		(53,714)	(25,365)
Retained Earnings		4,945,503	3,827,809
Attributable to equity holders of the parent Company		**7,013,771**	**5,998,657**
Non - Controlling interest		106,749	103,869
At end of the period		**7,120,520**	**6,102,526**

RESULTS 2012

The Board of Directors is pleased to announce the audited results for the Group for the year ending 31st December 2012. Group turnover increased by 39% to Ksh 11.4 billion (2011 Ksh 8.2 billion). Cement sales increased by 64% from increased market share in Kenya and Rwanda, and contribution of 3 months sales from the Dar Es Salaam plant which became operational in October 2012. Profit before Tax for the year increased by 31% to Ksh 1.76 billion (2011 Ksh 1.36 billion). Net Profit for the year increased by 8% to Ksh 1.24 billion, as accumulated investment deductions allowances were fully utilized in Kenya. The company generated total cash from operations of Ksh 2.65 billion during the year, and working capital increased by Ksh 1.37 billion to support the increased turnover. As investment in the Tanzania plants also continued, total Group Fixed Assets increased by 13% to Ksh 19.02 billion (2011 Ksh 16.79). Net debt increased by Ksh 1.96 billion during the year, mainly from the convertible debt issued to Africa Finance Corporation (AFC), to complete the funding requirements for the clinker plant in Tanga.

Outlook 2013

The Group has recorded a strong growth in turnover in the first 2 months over the same period last year. Following the peaceful elections in Kenya and continued robust growth in the East African economies, demand for cement is expected to continue growing throughout the region. The Group expects to register another year of strong growth, and improved profitability on the back of new capacity in Tanzania, and increased capacity utilization and efficiency in operations in Kenya.

Change of Name and Share Split

At the Annual General Meeting of Shareholders held on 24th July 2012, shareholders approved a change of name of the Company from Athi River Mining Ltd to ARM CEMENT LTD. This was to reflect the growing contribution and importance of the cement business in the Group. The Company however continues to operate the industrial minerals, lime, sodium silicate and Mavuno fertilizer divisions.
At the same Annual General Meeting, shareholders also approved a share split of five shares for each existing share; consequently the split shares started trading on the Nairobi Securities Exchange on 7th January , 2013. The company now has 495,275,000 issued shares.

Dividends

The Board of Directors recommends a first and final dividend of Ksh 0.50 per share for 2012 (Ksh 0.40 in 2011).

Closure of Share Register

The Annual General Meeting will be held at the Laico Regency Hotel, Nairobi, on Wednesday 10th July 2013, at 10.30am. Subject to approval by the shareholders at the Annual General Meeting, the dividend will be paid on or about 12th August, 2013 to the members on the register of members at the close of business on 10th July 2013. Accordingly, the register of members will remain closed on 11th July 2013.

By Order of the Board

R. R. Vora
Company Secretary
20th March, 2013